



Summary of Secrets of the Millionaire Mind

Original book by T. Harv Eker

In *Secrets of the Millionaire Mind*, self-made millionaire T. Harv Eker reveals **the difference between the way rich people and poor people think and feel about money**. Eker argues that these thoughts and beliefs impel you to take actions that either move you toward financial success or away from it—if you're not happy with the state of your finances, it's because your unproductive thoughts and beliefs about money hold you back from the financial success that you want. According to Eker, **you can dramatically improve your finances** by taking conscious control of your thoughts and *adopting a rich attitude* that will inspire you to take new actions that lead to your financial success.

In this guide, we've reorganized Eker's ideas into three distinct parts that walk you through his philosophy and give you actionable advice on developing a richer mindset. Additionally, we include research underlying *why* people often fail to meet their financial goals and actionable ideas from other self-improvement authors, financial authors, and psychologists.

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1-Page Summary

In *Secrets of the Millionaire Mind*, T. Harv Eker reveals **the differences in the way rich people and poor people think and feel about money**. Eker argues that these thoughts and beliefs *impel you to take actions that either move you toward financial success or away from it*—if you're not happy with the state of your finances, it's because your unproductive thoughts and beliefs about money hold you back from the financial success that you want.

According to Eker, **you can dramatically improve your finances** by taking conscious control of your thoughts and *adopting a rich attitude*—this rich attitude will inspire you to take new actions that lead to your financial success.

We'll first explore how we form thoughts about money and how negative conditioning may have led you to develop a "poor mindset." Then, we'll discuss the different ways Eker says that rich people think and act in relation to money, and we'll explore practical techniques for practicing a rich attitude and increasing your income.

Part 1: Your Money Mindset Defines Your Level of Wealth

According to Eker, your money mindset is a construct of all of the beliefs you hold about money. This construct programs the way you relate to money because:

1. Your thoughts and beliefs determine how you feel.
2. Your feelings determine the decisions you make and how you act.
3. Your actions determine the results you get and how much money you have.

Therefore, this programming leads you to develop habits and behave (often unconsciously) in specific ways to create results that align with your money mindset.

Your Thoughts About Money Impact Every Area of Your Life

While Eker narrows down the **impact of your thoughts and beliefs on your behavior** to focus solely on money, psychologists and self-help practitioners argue that your beliefs impact *all* areas of your life, even if they *seem* to relate to just one. This is because how you think, feel, and behave in one area of your life influences the decisions you make in all areas of your life.

- For example, you feel insecure about your love life. Each time you get into a relationship, you give up a lot of your time and energy in an attempt to make the relationship work. Your insecurity about your relationship leads you to neglect your friends and your personal goals, such as maintaining a fitness routine or working on side projects to meet your financial goals.

The example illustrates the difficulty with singling out thoughts and beliefs for specific areas of your life—in this case, your beliefs about your love life impact your finances, your fitness, and your friendships. Therefore, throughout the rest of this guide, reflect on how your thoughts and beliefs in all areas of your life impact your finances and vice versa—how your thoughts and beliefs about money impact your overall life experience.

Your Money Mindset Is a Result of Childhood Conditioning

Eker claims that your current money mindset is a result of childhood conditioning. As a child, you unconsciously absorbed thoughts, emotions, and beliefs about money from your role models and your environment. Everything you heard, saw, and experienced about money influenced your beliefs about how to manage your finances, and conditioned you to behave in specific ways. These thoughts and opinions now make up your mindset and determine what you believe about money. These beliefs then unconsciously dictate how you think, feel, and behave when you manage your finances.

For example, if your role models worked hard but never had enough money to enjoy themselves, you may have the belief: “There is never enough money, no matter how hard I work.” This belief creates an uncomfortable feeling every time you think about going to work or managing your finances, and it leads you to act in unproductive ways such as frivolously spending your money instead of saving it. Your discomfort may also cause you to resent people who do have enough money. In contrast, if you grew up in an environment where money was not a cause for concern because there was always enough, you’re less likely to feel discomfort or resentment around the subject of work and money.

Your Conditioning Is a Result of What You Believe to Be True

The author of *Psycho-Cybernetics*, Maxwell Maltz, validates Eker’s argument that you picked up beliefs throughout your childhood that conditioned you to behave in certain ways. He argues that *you unconsciously adopted the opinions and beliefs of others as truths*, regardless of whether or not these opinions were based on facts.

Why did your mind accept what you heard, saw, and experienced as truth? It’s because your nervous system can’t tell the difference between imagination and reality—it can only respond to what you think or imagine to be true. When you were young, you were less able to question what was going on around you and to form your own rational conclusions. As a result, you simply absorbed everything you experienced and *your mind accepted these experiences as truths*.

As an adult, you can decide what you choose to believe but, according to Maltz, the “truths” you accepted as a child continue to live in your mind and inform your feelings and behaviors. He suggests that you take control of these outdated truths and replace them with what you *choose to believe* by regularly visualizing yourself acting in ways that align with what you want. Maltz claims that, with constant practice, your mind will gradually become accustomed to accepting your new thoughts and beliefs as *truth* and will let go of the old, unproductive beliefs.

Your Childhood Influences: Are You Conforming or Rebelling?

Eker argues that while your money mindset is a result of childhood conditioning, it doesn’t always mean that you’ll replicate your role models when it comes to managing your money. You may end up producing entirely different results depending on **how you originally chose to interpret** what was going on and whether you chose to conform or rebel against your upbringing. In either case, your interpretation of your upbringing defined the beliefs in your money mindset.

- For example, if your parents spent a lot of money on friends and family, you may have positively interpreted money as a way to be generous to others (leading to conformity with your upbringing), or you may have negatively interpreted it as a way for others to take advantage of your parents (leading to rebellion against your upbringing.)

(Shortform note: Eker claims that your **interpretation** of your experiences defines your beliefs. Similarly, Maltz (*Psycho-Cybernetics*) argues that **the way that you identify with your experiences** determines the beliefs you form. For example, if your guardians couldn't afford to buy you something you wanted, you could've identified with this experience in multiple ways—you could've appreciated your parents for doing the best that they could, or you could've responded with feelings of anger and disappointment. Whatever emotion you chose created corresponding beliefs in your mind.)

Your Financial Setpoint

Eker claims that the beliefs in your money mindset also include a conclusion about **the amount of money you trust yourself to manage effectively**. This amount defines your capacity for wealth—we'll refer to this as your "financial setpoint."

Your money mindset creates specific results that align with your financial setpoint: It programs you to think and behave in specific ways to create results that conform to your unconscious beliefs about how much money you can manage. Even if you manage to earn money past this amount, you won't be able to hold onto it for long. This is because your money mindset operates from the belief that you can't handle the challenges that come with managing more money; so it drives you to act in ways that squander that money. **In other words, your money mindset ensures that your finances always reflect your financial setpoint.**

Why Would You Limit Your Financial Setpoint?

Throughout the book, Eker very briefly touches on concepts such as the law of attraction and the role your subconscious plays in guiding your thoughts and actions to match your financial setpoint. But he doesn't explain exactly *why* you would limit yourself by setting a low financial setpoint. Therefore, we'll refer to research based on the *psychology of success* to provide some insight into why your financial setpoint is where it is.

According to Maltz (*Psycho-Cybernetics*), you developed limiting beliefs as a way to protect yourself from emotionally uncomfortable (unsafe) situations—the way you identified with the uncomfortable situation led you to feel *unwanted* negative emotions. You reacted by forming a conclusion about what led to this discomfort and you made the decision to avoid similar situations and **protect yourself from future discomfort**. Your mind stored this decision as a belief. Even though you're not conscious of this belief, it continues to impact your thoughts, feelings, and behaviors.

- For example, your parents worked hard for their money and didn't have a lot of time for you. Every time they achieved a level of comfort around their finances, friends and family members would ask for handouts. Your parents always gave their money to those who asked. They continued to work hard and rarely spent any money on themselves or made time to enjoy themselves.

You observed all of this and felt uncomfortable. You resented your parents for working so hard and having so little time for you. You resented them for prioritizing the needs of others. You also resented all of the people that took advantage of your parents. These feelings of resentment led you to **associate having money with being taken advantage of**, and you decided that you would never let yourself get treated that way. **This turned into a belief and created your financial setpoint:** If you have over \$X you'll get taken advantage of, so it's safer to never have more than that amount.

Part 2: The Poor Mindset

Eker argues that thoughts and beliefs about money tend to fall into either a **rich mindset** (an attitude that moves you *toward* financial success) or a **poor mindset** (an attitude that moves you *away* from financial success). **If you're not happy with the state of your finances, it's because you've been negatively conditioned to have a poor money mindset:** Your unproductive thoughts and beliefs *impel* you to act in ways that move you away from financial success.

Wealth Doesn't Always Equate to Success

Eker claims that your thoughts and beliefs about money fall into two categories: rich and poor. It's also clear that he considers wealth to be the root of well-being and success—if you're rich, you're happy and successful. On the other hand, if you're poor, you're unhappy and unsuccessful.

While self-improvement literature does support the concept of classifying our thoughts into distinct groups that determine our likelihood of success, it tends to provide a more well-rounded definition of well-being and success than Eker provides. For example, Carol S. Dweck ([Mindset](#)) argues that your traits and tendencies determine whether you have a “growth mindset” that leads you to success, or a “fixed mindset” that inhibits your success.

Dweck's focus is not on what you *have* or *achieve*, but on your general attitude and approach to all areas of your life. According to her, you're successful if you have a growth mindset, consistently embrace challenges, and take steps to move forward and improve your life. Therefore, even if you have very little money, you're *more successful* than someone who may have more money but, due to their fixed mindset, fails to move past self-imposed limitations due to a lack of confidence or motivation.

Poor People Have a Negative Attitude and Mismanage Their Money

Eker argues that, if you have a poor mindset, each time you engage in negative thought patterns, you reinforce the belief that you're powerless when it comes to money. This is because you deny your role in your financial situation and reinforce the negative conditioning you adopted throughout your childhood—the more you engage in this type of thinking, the more you associate money with the feeling of powerlessness. As a result, you're incapable of achieving the financial success that you want.

(Shortform note: [The Happiness Advantage](#) sheds light on Eker's claim that negative thoughts lead you to feel powerless. The book presents the latest research in neuroscience and positive psychology to argue that **happiness is the cause of success**: When you cultivate the habit of thinking positive thoughts, you train your brain to find opportunities in adversity and more easily overcome challenges and setbacks. On the other hand, when you habitually think negative thoughts, your pessimism blocks you from perceiving opportunities and trains your brain to shy away from challenges. This stops you from moving forward and leaves you feeling powerless to improve your situation.)

Negative Conditioning Creates Low Self-Esteem and a Victim Mentality

Eker claims that low self-esteem goes hand in hand with negative conditioning and negative thinking: Poor people generally suffer from low self-esteem—due to their interpretation of their upbringing, they don't feel like they're *good enough* to manage more money. This money mindset leads them to **unconsciously sabotage** their chances of financial success. For example, they feel impelled to spend their money on unnecessary expenses instead of saving.

With every setback poor people face, Eker argues, their confidence takes a knock and they become habituated to the feeling of failure. Eventually, their lack of confidence prevents them from moving past their comfort zones to embrace challenges—this is because they allow their fear of failure to stop them from taking advantage of opportunities.

Not All Poor People Have Low Self-Esteem

Psychological research confirms that [negative thought patterns do contribute to low self-esteem](#). However, it's necessary to make the distinction here that **not all “poor people” have low self-esteem**. Eker's argument is based on the premise that if you're poor, you must be unhappy because you're *not rich*, and that your low self-esteem is holding you back from wealth.

But his argument is based on the assumption that *everyone wants to be rich*, and he doesn't factor in that some people actively *choose* not to make more money: for example, the parent who *wants* to prioritize family over career and finances, or the freelancer who works just enough to sustain her lifestyle so that she can spend more time doing things that feel meaningful to her. In both cases, money itself is not a priority, just a means to an end. Therefore, not having money probably wouldn't impact these people's self-esteem.

How Negative Conditioning Manifests

Eker claims that this negative conditioning is easy to identify once you start taking notice of how you think and talk about money. But, he argues, instead of investigating why they're unable to overcome their financial problems, poor people **deflect attention away from themselves and seek external causes for their problems**. They blame others for their misfortune, resent people who have what they want, and justify their poverty and their negative attitudes with **false beliefs** such as, “Rich people are greedy and corrupt.”

Eker claims that poor people use these tactics to relieve the stress of feeling poor and powerless. Unfortunately, these stress-relievers leave them locked into operating from a negative mindset that keeps them in poverty.

(Shortform note: The negative mindset that Eker describes is more commonly referred to as a [victim mentality](#)—the belief that bad things always happen to you through no fault of your own. This belief creates a feeling of apathy because, when you feel like other people are always trying to thwart you, you find it difficult to build the motivation to take positive action and change your life. Instead, people with a victim mentality often magnify their problems and their *perceived injustices* in an attempt to seek attention (comfort, sympathy, reinforcement of their beliefs) from others. The attention they receive from others **validates their powerlessness** and keeps them from moving forward.)

Part 3: The Rich Mindset

Eker believes that you can **consciously reprogram your money mindset** to improve your finances by replacing your unproductive thoughts and beliefs about money with the productive thoughts and beliefs that *rich people* have. The more you think like a rich person, the more you'll improve your money mindset and raise your financial setpoint so that you can comfortably accumulate and manage more money.

(Shortform note: According to Eker, you only need to replace your unproductive thoughts and beliefs about money with productive thoughts and beliefs to increase your financial setpoint. Similarly, lots of self-help

books claim that you just need to improve your thoughts to improve your life. For example, Louise Hay ([You Can Heal Your Life](#)) argues that you just need to “affirm” what you want to make it come true: Change the statement “*I’m not rich*” to “*I am rich*” and repeat this multiple times a day. Eventually, you’ll come to believe this thought and your programming will align with your new beliefs. As a result, you’ll find yourself naturally taking actions that lead to more money.)

Rich People Have a Positive Attitude and Effectively Manage Their Money

Eker argues that rich people always have a positive attitude towards their finances. They hold themselves accountable for the state of their finances and they take full responsibility for the impact of their thoughts and decisions. They understand that their positive thoughts lead them to take actions that produce successful results.

(Shortform note: While [many people characterize a positive attitude according to multiple factors](#), such as how well you treat other people or how ethical you are, Eker focuses solely on the productive thoughts required to build and maintain wealth—not general personality traits or ethical behavior. This arguably makes his definition a little limited.)

Throughout the rest of this part, we’ll outline the specific thought patterns and habits that Eker claims rich people practice.

Rich Mindset 1: Develop Discipline and Take Responsibility for Your Finances

Eker claims that rich people know that positive thoughts lead to positive actions. These positive actions lead to success and wealth. Consequently, they always focus on finding and creating solutions so that they can meet their financial goals.

(Shortform note: Like Eker, Tony Robbins ([Awaken the Giant Within](#)) argues that you must consciously decide to make your current thought patterns and behaviors more positive to change your life. He claims that each of your decisions (about how you think and behave) set into motion a series of actions that ultimately shape your life—each time you reflect on how your decisions have led you to create positive and negative experiences, you can learn from them and choose to make more beneficial decisions.)

Rich Mindset 2: Appreciate What You Want and Associate With Wealthy People

According to Eker, rich people feel inspired by the success of others—they avoid associating with negative people and they take every opportunity to learn and take advice from people who are more successful than they are.

(Shortform note: [Law of Attraction](#) practitioners agree with Eker’s suggestion that you should avoid identifying with what you don’t want and instead look for ways to habituate yourself with what you do want. Therefore, it’s worth considering how you can [surround yourself with and learn from people that inspire you](#). A practical way to approach this is to first consider whether the activities you engage in, or the people you hang around with, support or hinder your financial goals. Next, make a list of the wealthy and successful people you already know, and try to learn more about how they accomplished their goals.)

Rich Mindset 3: Stop Making Excuses and Confront Your Fears

Eker argues that rich people take measurable steps towards what they want. They always focus on the end result of what they want to achieve, and they expect to succeed despite their doubts and fears. They plan ahead and create strategies to overcome their fears or potential problems—their confidence grows with each step they take to move forward.

(Shortform note: Like Eker, Tim Ferriss suggests that you plan ahead and [create strategies to overcome your](#)

fears. He argues that you're more likely to hold back from taking action when you think of your fears as just vague possibilities that could happen. On the other hand, when you think about what you want to achieve and define the *actual* worst-case scenario, you give your mind something specific and productive to work on. As a result, you'll feel more prepared to move toward your financial goals and tackle setbacks along the way.)

Rich Mindset 4: Aim High

According to Eker, rich people set a clear intention to create massive wealth—they align their thoughts and behaviors with this intention and their commitment leads them to take actions that create wealth. This clarity of intention allows them to focus wholeheartedly on what they want and they willingly make any necessary sacrifices to achieve their goal. Their motivation to create wealth overrides their doubts and fears and makes them more resilient to setbacks.

(Shortform note: Research supports Eker's claim that setting ambitious intentions increases your likelihood of achieving your financial goals. This is because intentions force you to focus on *who you want to be*, and they **increase your self-discipline when you're faced with conflicting choices** about how to spend your time or your money. For example, if you set a clear intention to invest a specific amount of money into a savings account, you'll know the *right* way to act when faced with a decision between saving and wasting your money on something frivolous.)

Rich Mindset 5: Promote Your Value

Eker claims that rich people understand that salaries or hourly wages limit their income (your income is tied directly to the number of hours you work). Therefore, they aim to get paid for the *value they provide* and the *results they produce*. They do this by opting for commission, profit sharing, or investing in their company's stock options.

(Shortform note: How can commissions or profit-sharing pay more than a salary? When you work for an employer, **you only get paid a fraction of the value that you generate**—this value may be many multiples of your hourly wage or salary. For example, you earn \$20 an hour and work 40 hours a week—your salary is \$800 a week. But the work you do generates sales for your employer totaling \$5,000 a week. If you were paid a 25% commission, you would receive \$1,250 a week (\$450 more each week). Unlike a standard salary, the more sales you generate, the more income you receive so it's in your best interest to produce results and promote your value.)

Because their income is tied directly to the results they produce, rich people make every effort to promote themselves and the value that they have to offer—being overlooked or ignored means they don't receive an income. Therefore, they make sure that they reach and benefit as many people as possible to maximize their profits: The more people they reach, the more income they receive.

(Shortform note: Eker's claim that self-promotion is necessary to acquire wealth implies that extroverted people are more likely to feel comfortable with this process than introverted people. If the thought of indulging in verbal self-promotion makes your palms sweat, **don't feel pressured to adopt a more confident persona** just to get ahead. Instead, consider how you can communicate your professional skills and value to just one or two people at a time. With practice, you'll not only develop the confidence to talk about your expertise and accomplishments to bigger groups, but you'll also receive the recognition you deserve.)

Rich Mindset 6: Think Long-Term, Leverage Your Money, and Build Your Net Worth

Eker argues that rich people plan for their long-term wealth by growing **all of their financial assets** (their net worth): They think of the money they earn as *seeds that they can plant in order to grow more money* for their future wealth. The more money they grow, the less they have to work to pay for their lifestyle. Rich

people work to receive an income but they also **leverage their money in a way that makes it grow for them in the long term.**

(Shortform note: Like Eker, David Bach ([The Automatic Millionaire](#)) argues that you should develop the skills to leverage your money and increase your net worth regardless of what you earn. This way, you'll develop positive habits that will increase your current net worth *and* prepare you to effectively manage your future income. Bach also suggests that you plan for your retirement by setting up a tax-deferred retirement account and maximizing your contributions. He argues that it's the safest and most proactive way to *grow your money* and ensure that you're financially comfortable after you stop working.)

Shortform Introduction

In *Secrets of the Millionaire Mind*, T. Harv Eker reveals **the difference between rich people and poor people**. This difference doesn't lie in what they *do*, but in how they've been *conditioned to think and feel* about money. Eker argues that these thoughts and beliefs *impel you to take actions that either move you toward financial success or away from it*—if you're not happy with the state of your finances, it's because your unproductive thoughts and beliefs about money hold you back from the financial success that you want.

According to Eker, **you can dramatically improve your finances** by taking conscious control of your thoughts and *adopting a rich attitude*—this rich attitude will inspire you to take new actions that lead to your financial success. Eker outlines the different ways that rich people think and act in relation to money and includes practical techniques you can use to immediately practice this rich attitude and increase your income.

About the Author

T. Harv Eker is a Canadian multimillionaire, bestselling author, successful entrepreneur, and motivational speaker. He shares his knowledge about financial success in his popular [Millionaire Mind Intensive](#) events and seminars.

Eker experienced poverty and suffered the failure of multiple businesses. Determined to turn his life around and become a millionaire, he started to analyze the way rich people managed their money so that he could understand the *cause* of his own failure. His research led him to improve his attitude towards money so dramatically that he managed to turn a \$2,000 credit card loan into a million dollars in the span of two and a half years.

Eker now shares the methods he used to create his millions through his Millionaire Mind Intensive events and seminars. While there [has been some controversy](#) about the sales tactics he uses to upsell additional courses and events, the seminars are hugely popular and attendees come from all over the world to listen to Eker's advice.

Connect with T. Harv Eker:

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- [LinkedIn](#)

The Book's Publication

Publisher: [HarperCollins Publishers](#), 2005

Prior to *Secrets of the Millionaire Mind*, Eker also self-published [Speedwealth](#) in 2004, a short guide on how to earn millions from your business in less than three years. This book is exclusively available for sale at Eker's events and seminars.

The Book's Context

Intellectual Context

Unlike the majority of mainstream financial books (for example, [I Will Teach You to Be Rich](#) or [The Automatic Millionaire](#)), *Secrets of the Millionaire Mind* doesn't offer practical action-based advice on how to improve your finances. Instead, it addresses how your thoughts and beliefs impact your ability to create and hold onto wealth.

The premise that your thoughts and beliefs define your financial success has become increasingly popular since the publication of [The Science of Getting Rich](#) by Wallace D. Wattles in 1910. Wattles asserts that your thoughts are the cause of your success, and offers advice on how to think constructively to create wealth. Other successful books in this genre include:

- [Think and Grow Rich](#), Napoleon Hill: Argues that you can think what you want into reality
- [The Psychology of Money](#), Morgan Housel: Discusses why you make irrational decisions about money
- [Money and the Law of Attraction](#), Abraham Hicks: Explores how you can attract money by believing that you already have it

The Book's Impact

Secrets of the Millionaire Mind ranked as the bestselling title on *The New York Times* and *The Wall Street Journal* upon its publication in 2005. It's since sold over five million copies.

Eker was able to quickly gain traction and enjoy bestseller status without the support of a conventional marketing campaign by coming up with a way to cleverly [leverage his network of followers](#). Eker employs many self-promotion tactics in his events and seminars. He relentlessly pushes his products and services to his network of subscribers and seminar attendees, and he offers cross-promotional discounts and rewards to encourage buy-in. For example, the original edition of the book included two free tickets to his Millionaire Mind Intensive Seminar.

The Book's Strengths and Weaknesses

Critical Reception

Many reviewers highly recommend *Secrets of the Millionaire Mind* as an inspirational and motivational read—they feel it empowered them to challenge their thoughts and beliefs about money, take action to change their mindsets, and build on this momentum to improve their finances.

While the book does include valuable insights about the wealth mindset, some reviewers feel slighted by the lack of detail or practical information—for example, Eker makes claims about how rich and poor people think but doesn't back up his statements with research or statistics. In addition, he suggests a number of things you *should* do to make money but doesn't explain *how* to do these things. As a result, many reviewers think the book is “too shallow” and overly repetitive. They also find his opinions about how poor and middle-class people think offensive and reductive. In addition, some reviewers find the book distasteful due to the amount of advertising Eker slips in for his own seminars.

Commentary on the Book's Organization

Secrets of the Millionaire Mind is split into two parts. The first part explains how childhood influences conditioned your behavior towards money and how this shapes your financial reality.

The second part explores 17 ways in which rich people think differently from poor people and includes techniques and strategies to help you adopt a rich attitude and improve your finances. Eker attempts to organize the material into distinct principles but the thought processes and behaviors regarding money interlink and overlap with each other.

Our Approach in This Guide

In this guide, we've reorganized Eker's ideas into three distinct parts to reduce repetition. This reorganization also makes it easier to separate Eker's principles from the actionable ideas you can apply in your own life.

- **Part 1: Your Money Mindset Defines Your Level of Wealth** explains what your money mindset is and how it impacts your attitude and behavior around money.
- **Part 2: The Poor Mindset** explores the difference between a *poor mindset* and a *rich mindset*. It also clarifies how negative conditioning leads you to develop tendencies that inhibit you from taking positive actions to improve your finances.
- **Part 3: The Rich Mindset** presents specific techniques and strategies to help you adopt a rich mindset so that you can develop wealthy habits and ensure your financial success.

Additionally, we include psychological research underlying *why* people often adopt a negative attitude or fail to meet their financial goals, as well as actionable ideas from other self-improvement authors and psychologists. We also compare and contrast Eker's strategies with those of other popular financial authors like Ramit Sethi (*I Will Teach You to Be Rich*) and David Bach (*The Automatic Millionaire*).

Part 1: Your Money Mindset Defines Your Level of Wealth

T. Harv Eker argues that there's only one thing holding you back from the wealth that you want: your money mindset. We'll discuss this concept in three parts.

In this first part of the guide, we'll explain what your money mindset is, how your childhood influenced its formation, and how it impacts your attitude and behavior around money. We'll also discuss your "financial setpoint": the amount of money you feel you can comfortably manage.

In the second part, we'll explore the difference between a *poor mindset* and a *rich mindset*. We'll also clarify how negative conditioning leads you to develop tendencies that inhibit you from taking positive actions to improve your finances.

In the final part, we'll cover specific techniques and strategies to help you adopt a rich mindset so that you can develop wealthy habits and ensure your financial success.

What Is Your Money Mindset?

According to Eker, your money mindset is a construct of all of the beliefs you hold about money. This construct programs the way you relate to money because:

1. Your thoughts and beliefs determine how you feel.
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Therefore, this programming leads you to develop habits and behave (often unconsciously) in specific ways to create results that align with your money mindset.

Your Thoughts About Money Impact Every Area of Your Life

Eker claims that your money mindset holds all of your beliefs about money, and these beliefs lead you to think, feel, and act in ways to produce results that align with your beliefs. Many personal development practitioners teach this concept—the consensus is that [people develop patterns of behavior based on beliefs that they're unaware of](#).

However, while Eker narrows down this concept to focus solely on money, psychologists and self-help practitioners argue that your beliefs impact *all* areas of your life, even if they *seem* to relate to just one. This is because how you think, feel, and behave in one area of your life influences the decisions you make in all areas of your life.

- For example, you feel insecure about your love life. Each time you get into a relationship, you give up a lot of your time and energy in an attempt to make the relationship work. Your insecurity about your relationship leads you to neglect your friends and your personal goals, such as maintaining a fitness routine or working on side projects to meet your financial goals.

The example illustrates the difficulty with singling out thoughts and beliefs for specific areas of your

life—in this case, your beliefs about your love life impact your finances, your fitness, and your friendships. Therefore, throughout the rest of this guide, reflect on how your thoughts and beliefs in all areas of your life impact your finances and vice versa—how your thoughts and beliefs about money impact your overall life experience.

Your Money Mindset Is a Result of Childhood Conditioning

Eker claims that your current money mindset is a result of childhood conditioning. As a child, you unconsciously absorbed thoughts, emotions, and beliefs about money from your role models and your environment. Everything you heard, saw, and experienced about money influenced your beliefs about how to manage your finances, and conditioned you to behave in specific ways.

These thoughts and opinions now make up your mindset and determine what you believe about money. These beliefs then unconsciously dictate how you think, feel, and behave when you manage your finances.

For example, if your role models worked hard but never had enough money to enjoy themselves, you may have the belief: “There is never enough money, no matter how hard I work.” This belief creates an uncomfortable feeling every time you think about going to work or managing your finances, and it leads you to act in unproductive ways such as frivolously spending your money instead of saving it. Your discomfort may also cause you to resent people who do have enough money. In contrast, if you grew up in an environment where money was not a cause for concern because there was always enough, you’re less likely to feel discomfort or resentment around the subject of work and money.

Your Conditioning Is a Result of What You Believe to Be True

The author of *Psycho-Cybernetics*, Maxwell Maltz, validates Eker’s argument that you picked up beliefs throughout your childhood that conditioned you to behave in certain ways. He argues that *you unconsciously adopted the opinions and beliefs of others as truths*, regardless of whether or not these opinions were based on facts.

Why did your mind accept what you heard, saw, and experienced as truth? It’s because your nervous system can’t tell the difference between imagination and reality—it can only respond to what you think or imagine to be true. When you were young, you were less able to question what was going on around you and to form your own rational conclusions. As a result, you simply absorbed everything you experienced and *your mind accepted these experiences as truths*.

As an adult, you can decide what you choose to believe but, according to Maltz, the “truths” you accepted as a child continue to live in your mind and inform your feelings and behaviors. He suggests that you take control of these outdated truths and replace them with what you *choose to believe* by regularly visualizing yourself acting in ways that align with what you want.

- For example, if you want to believe that you can enjoy your work *and* earn a high income, visualize yourself performing this work and try to imagine how it would *feel* to achieve this.

Maltz claims that, with constant practice, your mind will gradually become accustomed to accepting your new thoughts and beliefs as *truth* and will let go of the old, unproductive beliefs.

Your Childhood Influences: Are You Conforming or Rebellious?

Eker argues that while your money mindset is a result of childhood conditioning, it doesn't always mean that you'll replicate your role models when it comes to managing your money. You may end up producing entirely different results depending on **how you originally chose to interpret** what was going on and whether you chose to conform or rebel against your upbringing. In either case, your interpretation of your upbringing defined the beliefs in your money mindset.

(Shortform note: Eker claims that your **interpretation** of your experiences defines your beliefs. Similarly, Maltz (*Psycho-Cybernetics*) argues that **the way that you identify with your experiences** determines the beliefs you form. For example, if your guardians couldn't afford to buy you something you wanted, you could've identified with this experience in multiple ways—you could've appreciated your parents for doing the best that they could, or you could've responded with feelings of anger and disappointment. Whatever emotion you chose created corresponding beliefs in your mind.)

If you didn't question your upbringing, it's likely that you chose to conform to the opinions of your role models. As a result, your money mindset now leads you to act in ways that replicate your upbringing: If your role models struggled to make money, you now struggle to make money. If they felt comfortable managing their money, you now feel comfortable managing your money.

(Shortform note: According to psychologists, you're more likely to have conformed to your role models if you're the type of person to place more weight on what other people think about you than on how you think and feel about *yourself*. As a result of this thought process, **you grew up acting like everyone else so that they'd accept you**, and you avoided taking actions that would invite criticism from others.)

If you chose to rebel against your upbringing, you may find yourself acting in complete opposition to your role models. For example, if your role models struggled with money, you may have made the *conscious decision to never let yourself live in poverty*. Or, if your role models were comfortable with money but didn't give you the time and love that you needed, you may have *unconsciously associated* money with lack of love.

Further, Eker argues that **your interpretation of your upbringing determines your motivation for making money**. If you grew up feeling like you never had enough money, you may be motivated by fear—you'll make money to ensure you always have what you need and will always feel discomfort at the thought of losing it. On the other hand, if you grew up feeling like money represented well-being and enjoyment, you'll have a more balanced outlook and pursue money in more fulfilling ways. **Your motivation stays with you and impacts the way you manage your finances.**

How Childhood Rebellion Can Lead You to Sabotage Your Own Self-Interests

As Eker briefly notes, sometimes we decide to rebel against the money mindset modeled to us in childhood. Accordingly, even if you grew up in an environment of wealth and luxury, and you were taught the most effective ways to manage your money, you could find yourself acting in ways that create poverty.

Why would you choose to rebel against what you want or what's good for you? According to psychological research, rebellious behavior occurs when we seek to differentiate ourselves and form our own separate identity—this type of behavior often gets triggered when adolescents transition into adulthood and attempt to reject their childhood identity.

Rebellion is inspired by a clear recognition of what you don't want (you don't want to be a child, you don't want to be like your role models) but fails to factor in *what you do want* (you want to be self-sufficient and enjoy well-being). The more negative emotions you feel around what you're rejecting,

the less likely you are to think about what you actually want to experience in your own life. As a result, your rebellion leads you to focus on negative thoughts and emotions that lead you to engage in self-destructive behaviors.

Your Financial Setpoint

As we've noted, your money mindset includes all of the beliefs about money that you accumulated throughout your childhood. Eker claims that these beliefs also include a conclusion about **the amount of money you trust yourself to manage effectively**. This amount defines your capacity for wealth—we'll refer to this as your "financial setpoint."

- There are various analogies you can use to visualize this setpoint. For example, think of it as a cup that can only hold so much water. This cup is your capacity for wealth.

Your money mindset creates specific results that align with your financial setpoint: It programs you to think and behave in specific ways to create results that conform to your unconscious beliefs about how much money you can manage. Even if you manage to earn money past this amount, you won't be able to hold onto it for long. This is because your money mindset operates from the belief that you can't handle the challenges that come with managing more money. **In other words, your money mindset ensures that your finances always reflect your financial setpoint.**

Why Would You Limit Your Financial Setpoint?

Throughout the book, Eker very briefly touches on concepts such as the law of attraction and the role your subconscious plays in guiding your thoughts and actions to match your financial setpoint. But he doesn't explain exactly *why* you would limit yourself by setting a low financial setpoint. Therefore, we'll refer to research based on the *psychology of success* to provide some insight into why your financial setpoint is where it is.

According to Maltz (*Psycho-Cybernetics*), you developed limiting beliefs as a way to protect yourself from emotionally uncomfortable (unsafe) situations—the way you identified with the uncomfortable situation led you to feel *unwanted* negative emotions. You reacted by forming a conclusion about what led to this discomfort and you made the decision to avoid similar situations and **protect yourself from future discomfort**. Your mind stored this decision as a belief. Even though you're not conscious of this belief, it continues to impact your thoughts, feelings, and behaviors.

- For example, your parents worked hard for their money and didn't have a lot of time for you. Every time they achieved a level of comfort around their finances, friends and family members would ask for handouts. Your parents always gave their money to those who asked. They continued to work hard and rarely spent any money on themselves or made time to enjoy themselves.

You observed all of this and felt uncomfortable. You resented your parents for working so hard and having so little time for you. You resented them for prioritizing the needs of others. You also resented all of the people that took advantage of your parents. These feelings of resentment led you to **associate having money with being taken advantage of**, and you decided that you would never let yourself get treated that way. *This turned into a belief and created your financial setpoint:* If you have

over \$X you'll get taken advantage of, so it's safer to never have more than that amount.

The Poor Stay Poor While the Rich Stay Rich

Eker explains that financial setpoints are why poor people stay poor and rich people stay rich. Different people can comfortably manage different amounts of money depending on their financial setpoint. Some people only feel comfortable managing small amounts of money, while others can comfortably manage millions of dollars.

Eker claims that lottery winners always end up losing their winnings due to their low financial setpoint—according to Eker, generally, only poor people play the lottery, hence his assumption that lottery winners have a low financial setpoint. They only feel comfortable managing a small amount of money, so they inevitably spend all of their winnings to return to an amount of money that they're comfortable with.

(Shortform note: According to statistics, [70% of lottery winners lose all of their money](#) and are more likely to [declare bankruptcy within 3-5 years](#) after they collect their winnings. However, it's not as black and white as Eker makes out—[some lottery winners manage to hold onto their winnings](#) and use the money to make a positive difference in their communities. For example, one high school teacher used his winnings to set up a summer camp for kids—he invested his money in a way that benefited his community and also created ongoing income.)

On the other hand, a number of self-made millionaires have lost all of their money only to get it all back again. According to Eker, they feel extremely uncomfortable when their finances fall below their financial setpoint. As a result, their programming leads them to take proactive action to earn the money that they're accustomed to having so that they can feel comfortable.

(Shortform note: While Eker's claim that [multi-millionaires often fight back to regain the money they lose](#) does seem to be the norm, a number of wealthy people have lost all of their money and never made it back. For example, when Allen Stanford was convicted of fraud in 2008, [he lost his entire fortune \(\\$2.2 billion\)](#). He's currently serving a 110-year sentence, so it's unlikely that he'll ever make this money back again.)

While you may think your balance hovers around the same amount due to external factors (financial emergencies, necessary supplies you had to buy), Eker believes that your financial setpoint is the only factor that determines your bank balance.

(Shortform note: Eker's claim that external factors don't determine your bank balance may come across as reductive when you consider the [higher costs of living that low-income households face](#). For example, for people living in poor neighborhoods, auto insurance companies charge 30% extra while home insurance companies increase their fees by 150%. Further, some predatory loan providers target low-income earners by offering small loans with extortionate interest rates (up to 400%). These external factors all contribute to your bank balance and impact your ability to grow your finances.)

Exercise: Assess Your Money Mindset

Eker claims that your money mindset is a result of childhood conditioning. This exercise will help you examine how your current finances reflect or oppose your upbringing.

Think about your financial situation. What's one thing you think you do well when it comes to managing

your money?

Where did you learn how to do this? (Remember, you may have learned by conforming *or* rebelling.) Was there something specific you heard, saw, or experienced throughout your childhood that taught you how to manage your money this way?

Think about something that's not currently going well with your finances. How do you think this relates to what you heard, saw, or experienced throughout your childhood?

Think about your financial assets—include your bank balance, savings accounts, any assets, and investments. Has this amount fluctuated over the past three years? What do you think your financial setpoint is?

Part 2: The Poor Mindset

In the first part of this guide, you learned that your money mindset is an accumulation of thoughts and beliefs that you picked up throughout your childhood. You *unconsciously replicate or oppose* the attitudes and behaviors that you grew up with, and this is why your finances are the way that they are.

Eker argues that thoughts and beliefs about money tend to fall into either a **rich mindset** (an attitude that moves you *toward* financial success) or a **poor mindset** (an attitude that moves you *away* from financial success). **If you're not happy with the state of your finances, it's because you've been negatively conditioned to have a poor money mindset:** Your unproductive thoughts and beliefs *impel* you to act in ways that move you away from financial success. Therefore, in this second part of the guide, we'll explore how negative conditioning works, and we'll help you to *identify the specific thoughts and beliefs* that discourage you from taking positive actions to improve your finances.

Wealth Doesn't Always Equate to Success

Eker claims that your thoughts and beliefs about money fall into two categories: rich and poor. It's also clear that he considers wealth to be the root of well-being and success—if you're rich, you're happy and successful. On the other hand, if you're poor, you're unhappy and unsuccessful.

While self-improvement literature does support the concept of classifying our thoughts into distinct groups that determine our likelihood of success, it tends to provide a more well-rounded definition of well-being and success than Eker provides. For example, Carol S. Dweck ([Mindset](#)) argues that your traits and tendencies determine whether you have a “growth mindset” that leads you to success, or a “fixed mindset” that inhibits your success.

Dweck's focus is not on what you *have* or *achieve*, but on your general attitude and approach to all areas of your life. According to her, you're successful if you have a growth mindset, consistently embrace challenges, and take steps to move forward and improve your life. Therefore, even if you have very little money, you're *more successful* than someone who may have more money but, due to their fixed mindset, fails to move past self-imposed limitations due to a lack of confidence or motivation.

Poor People Have a Negative Attitude and Mismanage Their Money

Eker argues that, if you have a poor mindset, each time you engage in negative thought patterns, you reinforce the belief that you're powerless when it comes to money. This is because you deny your role in your financial situation and reinforce the negative conditioning you adopted throughout your childhood—the more you engage in this type of thinking, the more you associate money with the feeling of powerlessness. As a result, you're incapable of achieving the financial success that you want.

(Shortform note: [The Happiness Advantage](#) sheds light on Eker's claim that negative thoughts lead you to feel powerless. The book presents the latest research in neuroscience and positive psychology to argue that **happiness is the cause of success**: When you choose to cultivate the habit of thinking positive thoughts, you train your brain to find opportunities in adversity and more easily overcome challenges and setbacks. On the other hand, when you habitually think negative thoughts, your pessimism blocks you from perceiving opportunities and trains your brain to shy away from challenges. This stops you from moving forward and

leaves you feeling powerless to improve your situation.)

Negative Conditioning Creates Low Self-Esteem and a Victim Mentality

Eker claims that low self-esteem goes hand in hand with negative conditioning and negative thinking: Poor people generally suffer from low self-esteem—due to their interpretation of their upbringing, they don't feel like they're *good enough* to have or manage more money. This money mindset leads them to **unconsciously sabotage** their chances of financial success. For example, they feel impelled to spend their money on unnecessary expenses instead of saving.

With every setback poor people face, Eker argues, their confidence takes a knock and they become habituated to the feeling of failure. Eventually, their lack of confidence prevents them from moving past their comfort zones to embrace challenges—this is because they allow their fear of failure to stop them from taking advantage of opportunities.

Not All Poor People Have Low Self-Esteem

Psychological research confirms that [negative thought patterns do contribute to low self-esteem](#). However, it's necessary to make the distinction here that **not all “poor people” have low self-esteem**. Eker's argument is based on the premise that if you're poor, you must be unhappy because you're *not rich*, and that your low self-esteem is holding you back from wealth.

But his argument is based on the assumption that *everyone wants to be rich*, and he doesn't factor in that some people actively *choose* not to make more money: for example, the parent who *wants* to prioritize family over career and finances, or the freelancer who works just enough to sustain her lifestyle so that she can spend more time doing things that feel meaningful to her. In both cases, money itself is not a priority, just a means to an end. Therefore, not having money probably wouldn't impact these people's self-esteem.

How Negative Conditioning Manifests

Eker claims that this negative conditioning is easy to identify once you start taking notice of how you think and talk about money. But, he argues, instead of investigating why they're unable to overcome their financial problems, poor people **deflect attention away from themselves and seek external causes for their problems**. They blame others for their misfortune, resent people who have what they want, and justify their poverty and their negative attitudes with **false beliefs** such as, “Rich people are greedy and corrupt.”

Eker claims that poor people use these tactics to relieve the stress of feeling poor and powerless. Unfortunately, these stress-relievers leave them locked into operating from a negative mindset that keeps them in poverty.

(Shortform note: The negative mindset that Eker describes is more commonly referred to as a [victim mentality](#)—the belief that bad things always happen to you through no fault of your own. This belief creates a feeling of apathy because, when you feel like other people are always trying to thwart you, you find it difficult to build the motivation to take positive action and change your life. Instead, people with a victim mentality often magnify their problems and their *perceived injustices* in an attempt to seek attention (comfort, sympathy, reinforcement of their beliefs) from others. The attention they receive from others **validates their powerlessness** and keeps them from moving forward.)

Poor Mindset Tendencies

Eker mentions 10 behavioral traits that poor people tend to engage in:

1) Blame others for their financial problems: “It’s the economy’s fault that I’m not making the amount of money that I want.”

(Shortform note: Jordan Peterson ([12 Rules for Life](#)) offers a more constructive approach than blame. Before you blame the outside world or specific people for your misfortunes, ask yourself: What personal responsibility did you have in your misfortune? Have you done everything in your ability to solve your problems, or are you *passively letting bad things happen to you*?)

2) Resent others’ good fortune: “They think they’re so much better than us!”

(Shortform note: [Alcoholics Anonymous: The Big Book](#) claims that resentment is a major flaw that leads you to avoid facing your own flaws and accepting responsibility for your own thoughts and actions. Confront your feelings of resentment by investigating their cause. Ask yourself: Why do you feel resentment, and how is this resentment harming you? For example, you resent your neighbors because they have a beautiful new car. The resentment makes you feel embarrassed about your old car and this harms your self-esteem. Next, ask yourself whether your embarrassment about your car is really their fault.)

3) Rationalize their lack of wealth: “It’s okay, there are more important things than money.”

(Shortform note: Malcolm Gladwell ([Blink](#)) explains that rationalizing is simply explaining our actions or thoughts with reasons that aren’t accurate. Our inaccurate explanations for our decisions **harm our ability to make smart decisions**. For example, if you make excuses for your lack of wealth by claiming that you don’t care about money, you’ll base your future decisions on this premise and make decisions that keep you poor.)

4) Complain about their financial situation: “I hate my job and it doesn’t pay enough.”

(Shortform note: According to the authors of [Crucial Conversations](#), complaining is a method we use to intentionally ignore the role we play in our problems. It justifies our current behavior by excusing us from any responsibility and, as a result, we don’t feel any motivation to change our thoughts and behaviors. The authors argue that instead of complaining, you should focus on telling yourself *accurate stories* that motivate you to think and act constructively. In other words, focus on your role in the problem and think about what you need to do to change the situation.)

5) Limit their choices: “I can’t be rich *and* be there for my family and friends.”

(Shortform note: When you focus on your limitations, you block yourself from seeking solutions that will improve your life, and you resign yourself to staying in the same situation. In [Awaken the Giant Within](#), Tony Robbins suggests that you should instead focus on asking yourself positive and empowering questions that lead to solutions. For example: What can you do to create more money *and* be there for your family and friends? Empowering questions lead to solutions that will help you to create the life that you want.)

6) Feel unworthy of financial success: “I’m not good enough to earn more money.”

(Shortform note: Feelings of unworthiness or of “not being good enough” are very common. However, according to Jen Sincero ([You Are A Badass](#)), it takes the same amount of energy to see your faults as it does to see your strengths. She suggests countering your insecurities by imagining yourself through the eyes of someone who admires you—this person will *only* see your full potential and your talents. This method will train you to focus on your strengths, and, as a result, feel less stress around your *perceived flaws*.)

7) Focus on their problems and fears: “I’m not going to try in case I fail.”

(Shortform note: Brendon Burchard (*High Performance Habits*), claims that the tendency to focus on problems and fears occurs when we don’t have a clear purpose for our actions and are too focused on the difficulty of our present circumstances to look to the future. According to Burchard, if you want to make improvements in your life, accept that **challenges and hardships are the route to your success**. Therefore, focus on what you’ll gain from overcoming your problems and fears, and use this to motivate yourself to move forward.)

8) Aim low and seek security: “What’s the point in working more than I have to?”

(Shortform note: When you aim low, it’s often because you’re afraid to take risks and move out of your comfort zone. If you remain inactive in your comfort zone, you’ll never improve or gain the confidence to go for what you want. The authors of *The Confidence Code* claim that the best way to move forward to what you want is to *continually* take actions that move you out of your comfort zone. For example, offer to take on more responsibilities at work—the extra work will challenge you, and may lead to a promotion and a pay rise.)

9) Mismanage their money: “I might as well spend my money because I’ll never be rich.”

(Shortform note: According to Ramit Sethi, author of *I Will Teach You to Be Rich*, there’s a psychological reason underlying our tendency to mismanage our money: **decision paralysis**. Sethi argues that we become too overwhelmed to make decisions about our finances when we’re presented with multiple options and opinions about the best way to move forward. To move past this, he recommends that you switch your focus from information-gathering and start taking small *proactive* steps towards financial success.)

10) Seek instant gratification: “I will spend my money because I have nothing else to look forward to.”

(Shortform note: It can be difficult to make sacrifices now for the sake of your future comfort. James Clear, the author of *Atomic Habits*, offers a way to overcome the temptation to indulge in instant gratification: He suggests that you find ways to **immediately reward yourself** for engaging in the positive habits you want to form. For example, each time you avoid spending your money on something frivolous, transfer this money to an account earmarked for something that represents the wealth that you want, like a new car or a special outfit. The satisfaction of watching this account grow will outweigh your fear of missing out and will encourage you to make decisions that benefit your finances.)

An Example of Negative Conditioning at Play

To illustrate how negative conditioning can perpetuate a victim mentality, let’s look at an example. If you dislike your job and blame your employer for not paying you enough, you **limit your choices** because you prevent yourself from accepting your role in the situation (you *choose* to do this job and to accept this pay). You vent your frustration by resenting and blaming people who have what you want. To cope with this feeling of powerlessness and frustration, you make excuses to explain why you’re in this unhappy situation, such as, “It’s okay, at least I have a job to pay the bills.” **These negative habits stop you from focusing on what you need to do to move forward and keep you trapped in an unsuccessful situation.**

How Your Unconscious Biases Keep You Stuck in Negative Cycles

Throughout the book, Eker argues that poor people get stuck in a cycle of poverty because they want money but have no money. They engage in negative habits to deal with their disappointment, and

these habits prevent them from taking the actions necessary to earn, receive, or “attract” money.

While you may feel that your negative thoughts and beliefs are entirely rational (your experiences *justify* your negative reactions), it’s likely that your conditioning has prompted the formation of unconscious biases that led you to develop these negative tendencies. These biases are the result of your brain’s attempt to make quick judgments based on your past experiences, and they shape the way you think about and perceive your environment.

There are many different types of cognitive biases, and each of them influences your perception in different ways. The most common forms are [confirmation bias](#), the tendency to pay more attention to the information that confirms and reinforces your opinion, and [negativity bias](#), the tendency to notice and dwell on the negative aspects of your experience.

Break Free From Your Negative Tendencies

To break free from the impact of your conditioning and the cognitive biases that influence you, ask yourself why you engage in negative thinking and what reasons you use to justify these thoughts. If you notice that you engage in any of the tendencies on Eker’s list, first ask yourself where you learned to react in this way (for example, from your role models or your social group). Next, ask yourself what benefits you receive from behaving this way (you get to stay in your comfort zone). Finally, ask yourself if reacting in this way empowers you to move towards your financial success or discourages you from taking positive action to improve your finances.

Exercise: Challenge Your Negative Tendencies

According to Eker, your negative tendencies reinforce the belief that you’re powerless when it comes to money. Challenging your negative tendencies is the first step to eliminating them.

Think about the last time you blamed a specific person or circumstance for your financial problems. Why did you feel they were to blame?

Can you think of a specific time during your childhood when your role models blamed others for their financial problems? Describe the situation and what you learned from it.

What do you get from continuing to blame others for your financial difficulties? List as many benefits as you can think of.

Does blaming others empower you to move towards your financial goals? If not, what kind of thoughts make you want to take positive actions to improve your finances?

Part 3: The Rich Mindset

In the previous part, you learned how negative conditioning creates specific thoughts and beliefs that discourage you from taking positive actions to improve your finances. In this final part of the guide, we'll explore how developing a rich mindset leads to wealth. We'll cover specific techniques and strategies to help you adopt and cultivate a wealthy attitude that ensures your financial success.

Why You Need a Rich Mindset

Eker argues that no matter how hard you work to accumulate money, or how many financial books you read or seminars that you attend, **your finances cannot improve unless you improve your mindset**. Recall: This is because your mindset will always find ways to sabotage the way you handle your money if the amount rises above your financial setpoint.

Fortunately, there is a way to increase your financial setpoint. Eker believes that you can **consciously reprogram your money mindset** to improve your finances by replacing your unproductive thoughts and beliefs about money with the productive thoughts and beliefs that *rich people* have. The more you think like a rich person, the more you'll improve your money mindset and raise your financial setpoint so that you can comfortably accumulate and manage more money.

How to Change Your Thoughts and Beliefs

According to Eker, you only need to replace your unproductive thoughts and beliefs about money with productive thoughts and beliefs—this will improve your mindset, reprogram the way you behave around money, and increase your financial setpoint. Similarly, lots of self-help books claim that you just need to improve your thoughts to improve your life.

For example, Louise Hay (*You Can Heal Your Life*) argues that you just need to “affirm” what you want to make it come true: Change the statement “*I’m not rich*” to “*I am rich*” and repeat this multiple times a day. Eventually, you’ll come to believe this thought and your programming will align with your new beliefs. As a result, you’ll find yourself naturally taking actions that lead to more money.

However, while Maltz (*Psycho-Cybernetics*) believes that you can train yourself into feeling, and then acting successfully (by copying the positive thought patterns that successful people have), he argues that affirmations are not enough to change your beliefs and your programming—he believes that **your mind will automatically reject thoughts that don’t align with your established beliefs**.

Maltz claims that the only way to change your beliefs is to regularly use your imagination to visualize and **feel the success (wealth) that you want**—this is because *your nervous system operates according to how you feel, not how you think*. According to Maltz, this practice will train your mind to become more comfortable with the feeling of financial success, and it’s the only way to change old and unproductive beliefs. Therefore, as you work through Eker’s suggestions, *imagine how you’d feel* if you adopted the rich mindset and achieved the wealth that you want.

Rich People Have a Positive Attitude and Effectively Manage Their Money

Eker argues that rich people always have a positive attitude towards their finances. They hold themselves accountable for the state of their finances and they take full responsibility for the impact of their thoughts and decisions. They understand that their positive thoughts lead them to take actions that produce successful results.

(Shortform note: While [many people characterize a positive attitude according to multiple factors](#), such as how well you treat other people or how ethical you are, Eker focuses solely on the productive thoughts required to build and maintain wealth—not general personality traits or ethical behavior. This arguably makes his definition a little limited.)

Throughout the rest of this part, we'll outline the specific thought patterns and habits that Eker claims rich people practice, and we'll include practical techniques that you can use to recondition your thoughts and adopt the attitude of success.

Rich Mindset 1: Develop Discipline and Take Responsibility for Your Finances

Eker claims that rich people know that positive thoughts lead to positive actions. These positive actions lead to success and wealth. Consequently, they always focus on finding and creating solutions so that they can meet their financial goals. Eker proposes two ways to develop discipline and take responsibility for your finances:

1. Stop yourself from thinking or speaking about money in a negative way.
2. Make a daily habit of reflecting on one thing that went well and one thing that didn't. Think about what part you played in creating each of the situations and how you can improve your attitude and behavior. For example, if you had an argument about money with your partner, instead of casting blame, try to think about your role—what did you say or do to fuel the disagreement, and what can you learn from this?

Motivate Yourself to Think Positively

Like Eker, Tony Robbins ([Awaken the Giant Within](#)) argues that you have to make the conscious decision to make your current thought patterns and behaviors more positive to change your life. He claims that each of your decisions (about how you think and behave) set into motion a series of actions that ultimately shape your life—each time you reflect on how your decisions have led you to create positive and negative experiences, you can learn from them and choose to make more beneficial decisions.

Robbins suggests that you can motivate yourself to take control of your mindset and increase its positivity by answering the following question: What are the financial and emotional costs of *not* changing your mindset? In other words, what are you missing out on? Next, Robbins recommends that you reinforce the pleasure you expect to gain from improving your mindset by answering the following questions:

- How will you feel about yourself if you make this change?
- How will this change increase your happiness?
- How will this change impact your loved ones?

When you identify the consequences of repeating the same negative thoughts and ineffective behaviors and weigh this against the benefits you'll receive if you accept your role and change them,

you'll feel motivated to take control of your thoughts and behaviors to improve your financial situation.

Rich Mindset 2: Appreciate What You Want and Associate With Wealthy People

According to Eker, rich people feel inspired by the success of others—they take every opportunity to learn and take advice from people who are more successful than they are. Eker suggests three ways to develop this mindset:

- 1) Feel appreciation whenever you see signs of success, such as a beautiful car or an expensive home.
- 2) Make a point of celebrating your good fortune when you receive money, gifts, or compliments, and make a list of ten things you're grateful for every day.

(Shortform note: How does feeling appreciation and gratitude bring more wealth into your life? Gretchen Rubin (*The Happiness Project*) argues that focusing on things that are going well in your life not only makes you happier, but it also makes you less envious of others. The more grateful you feel about *your* life, the more inclined you are to appreciate what's going well in the lives of *others*. This gratitude and appreciation ultimately helps you to transcend everyday negativity and makes you more resilient to any setbacks you face as you move toward your financial goals.)

- 3) Avoid identifying with negative people or watching useless television programs that perpetuate negativity. Instead, find ways to associate with rich people so that you can observe how they behave and habituate yourself to the feeling of wealth. You can do this by joining a high-end club or visiting expensive restaurants.

(Shortform note: [Law of Attraction](#) practitioners agree with Eker's suggestion that you should avoid identifying with what you don't want and instead act "as if" you already have what you do want. While Eker's suggestion that you join a high-end club might be impractical for most, it's worth considering how you can [surround yourself with people that inspire you](#) to learn more about how to become wealthy and successful. A practical way to approach this is to first consider whether the activities you engage in, or the people you hang around with, support your financial goals or prevent you from achieving them. Next, make a list of the successful people you already know, and try to learn more about how they accomplished their goals.)

Rich Mindset 3: Stop Making Excuses and Confront Your Fears

Eker argues that rich people take measurable steps towards what they want. They always focus on the end result of what they want to achieve, and they expect to succeed despite their doubts and fears. They plan ahead and create strategies to overcome their fears or potential problems—their confidence grows with each step they take to move forward. Eker suggests two ways to develop this positive mindset:

1. Think about your greatest worries or concerns regarding money and plan the specific actions you'd take to overcome or limit their impact if they came true.
2. Seek ways to move past your fears. For example, if there's a project you want to start or a business field you want to get involved in, just start working for or with someone in that field and learn whatever skills you need to move forward.

Use Your Worst-Case Scenario to Empower Yourself

Like Eker, Tim Ferriss suggests that you should [define your greatest worries and concerns as a tool to](#)

empower yourself. He argues that you're more likely to hold back from taking action when you think of your fears as just vague possibilities that could happen. On the other hand, when you think about what you want to achieve and define the *actual* worst-case scenario, you give your mind something specific and productive to work on.

If there's a specific project you want to start or a business you want to get involved in, Ferriss suggests that you:

- **Envision** your worst-case scenario in detail
- **Plan** how you would get back in control of the situation
- **Ask** yourself how you could benefit from this situation

Your answers to these questions will provide clues about what you can do to better prepare yourself and ultimately move past your fears—feeling prepared for anything will empower you to move forward toward your financial goals.

Rich Mindset 4: Aim High

According to Eker, rich people set a clear intention to create massive wealth—they align their thoughts and behaviors with this intention and their commitment leads them to take actions that create wealth. This clarity of intention allows them to focus wholeheartedly on what they want and they willingly make any necessary sacrifices to achieve their goal. Their motivation to create wealth overrides their doubts and fears and makes them more resilient to setbacks.

(Shortform note: Research supports Eker's claim that setting intentions increases your likelihood of achieving your financial goals. This is because intentions force you to focus on *who you want to be*, and they **increase your self-discipline when you're faced with conflicting choices** about how to spend your time or your money. For example, if you set a clear intention to invest a specific amount of money into a savings account, you'll know the *right* way to act when faced with a decision between saving and wasting your money on something frivolous.)

Eker proposes two ways to clarify your intention to create wealth:

1) Write down the specific benefits you'll receive from creating more wealth in your life.

(Shortform note: Many self-improvement practitioners agree that **you need to feel emotionally invested in your goals in order to achieve them**—in other words, the more benefits you anticipate from achieving your financial goal, the more inspired and motivated you'll feel to achieve it. Therefore, when you write your list of benefits, try to make it as exciting as possible.)

2) Write down an ambitious financial goal that reflects the rich life you want and place it somewhere you will see it multiple times a day. Aim high but make sure this goal is achievable within a realistic time frame.

(Shortform note: Eker suggests that you challenge yourself when setting your financial goal. Similarly, Grant Cardone (*The 10X Rule*) argues that **the only way to achieve success is to set extreme goals and take extreme action to meet them**. Even if you fail to achieve the specific goal you set for yourself, your extreme actions will impact your finances in a positive way and leave you in a better financial position than if you aim low and take "small" actions.)

Rich Mindset 5: Promote Your Value

Eker claims that rich people understand that salaries or hourly wages limit their income (your income is tied directly to the number of hours you work). Therefore, they aim to get paid for the *value they provide* and the *results they produce*. They do this by opting for commission, profit sharing, or investing in their company's stock options.

Because their income is tied directly to the results they produce, rich people make every effort to promote themselves and the value that they have to offer—being overlooked or ignored means they don't receive an income. Therefore, they make sure that they reach and benefit as many people as possible to maximize their profits: The more people they reach, the more income they receive.

(Shortform note: Eker's claim that self-promotion is necessary to acquire wealth implies that extroverted people are more likely to feel comfortable with this process than introverted people. If the thought of indulging in verbal self-promotion makes your palms sweat, [don't feel pressured to adopt a more confident persona](#) just to get ahead. Instead, consider how you can communicate your professional skills and value to just one or two people at a time. With practice, you'll not only develop the confidence to talk about your expertise and accomplishments to bigger groups, but you'll also receive the recognition you deserve.)

Eker proposes four ways to effectively advertise your value:

1) Suggest to your employer that they pay you based on both your individual results and the results of your company. This way, you'll feel motivated to work harder so that you can earn more than your salary and profit from the results you produce.

(Shortform note: How can commissions or profit-sharing pay more than a salary? When you work for an employer, [you only get paid a fraction of the value that you generate](#)—this value may be many multiples of your hourly wage or salary. For example, you earn \$20 an hour and work 40 hours a week—your salary is \$800 a week. But the work you do generates sales for your employer totaling \$5,000 a week. If you were paid a 25% commission, you would receive \$1,250 a week (\$450 more each week). Unlike a standard salary, the more sales you generate, the more income you receive so it's in your best interest to produce results and promote your value.)

2) Think about the product or service you offer and rate it from 1-10 based on how much value you believe it offers. If your score is less than 10, think about ways you can increase the value of what you're offering. Alternatively, start offering something you can fully believe in.

(Shortform note: Eker doesn't offer advice on *how* to assess the value you offer or come up with new ideas. The authors of [Business Model Generation](#) argue that your product or service is more likely to be perceived as valuable if it **aligns with the specific needs of your customers and differentiates itself from existing solutions.**)

3) Consider starting your own business (for instance, as an entrepreneur, coach, or consultant) based on your natural gifts and talents—how could you add more value to the world and get paid for your results as well as your time?

(Shortform note: Eker doesn't explain how to start a business based on your interests and talents. There are a few [practical steps you can take to start earning money](#) from your natural gifts: First, identify what you're good at and enjoy doing. Next, identify profitable opportunities in high-growth areas that you're interested in. Finally, explore ways that you can use your talents to add value to these areas. For example, if you're good at organizing and you enjoy looking at healthy recipes, there are multiple businesses you can create from this combination, such as a meal-planning service for people who want to lose weight or are on special diets.)

4) Think about how many people you impact with your current work. Now come up with at least three different strategies so that you can provide value to and impact ten times the number of people. Learn as much as you can about marketing and sales so that you can successfully promote your value.

(Shortform note: How can you promote your value and reach more people? Eker doesn't elaborate on this, but the authors of [Positioning](#) suggest over-simplifying the value you intend to offer so that your customers can immediately understand the benefits they'll receive. For example, if you offer a professional cleaning service, focus on a simple benefit your customers get from using your service—they get to come home and relax knowing that all of the chores have been taken care of.)

Rich Mindset 6: Think Long-Term, Leverage Your Money, and Build Your Net Worth

Eker argues that rich people plan for their long-term wealth by growing **all of their financial assets** (their net worth): They think of the money they earn as *seeds that they can plant in order to grow more money* for their future wealth. The more money they grow, the less they have to work to pay for their lifestyle. Rich people work to receive an income but they also **leverage their money in a way that makes it grow for them in the long term**.

(Shortform note: Financial experts agree with Eker's claim that the route to wealth is to leverage your money through investments that create long-term growth. While this is sage advice, it doesn't address the fact that many people must work multiple jobs or [rely on credit cards just to cover basic living expenses](#) such as groceries and utilities. [They don't have the resources](#) to live comfortably *now* let alone spare money to invest toward their future comfort.)

Eker proposes five ways to leverage your money and build your net worth:

1) Learn about investments: Read financial books or journals and then begin investing your money. Consider hiring a financial planner to manage your investments for you.

(Shortform note: Eker doesn't offer practical advice on how to choose and set up investments or create passive income. Many finance books, including [I Will Teach You to Be Rich](#), [The Automatic Millionaire](#), and [The Millionaire Next Door](#), explain how investments work and discuss the benefits of leveraging your money in ways that make it grow. These books also offer detailed strategies to help you set up and manage your investments to create ongoing income in the form of compound interest. The authors of these books, in contrast to Eker, say that you shouldn't need to hire a financial planner once you understand how to balance your investments.)

2) Switch your focus from earning money through hard work to earning money from passive income. Write down three ways you can create income without working. Research and then act on these strategies.

(Shortform note: While Eker doesn't elaborate on how to create passive income, there are many ways you can [create passive income streams](#) such as selling digital products, renting out property, or investing your money in an account that applies [compound interest](#).)

3) Write down your current net worth—add up the value of everything you own such as your cash, current business, investments, and real estate. Then subtract what you owe such as your mortgage payments or other debts. Next, write down your ideal net worth—the total value of all of your assets. What amount will allow you to achieve financial freedom (that is, you won't need to work to live comfortably)? Track your net worth every 90 days—this will motivate you to keep moving toward your net worth goal.

(Shortform note: Eker doesn't provide advice on how to determine your ideal net worth. According to [The Millionaire Next Door](#) (Thomas J. Stanley and William D. Danko), your ideal net worth *should be* based on your

income and your age. Stanley and Danko present the following formula: Multiply your age by your taxable income, then divide this amount by 10, and subtract any inherited money. **The result is what your net worth should be according to your income and age.** If your actual net worth is significantly below this figure, you're probably living a consumption-orientated lifestyle (spending more than you save). On the other hand, if your net worth is significantly above this figure, you're already practicing wealthy habits.)

4) Develop the habit of directing your money towards different savings and investment accounts regardless of what you earn. This act will reprogram your money mindset into believing that you can effectively handle more money and will increase both your confidence and your financial setpoint. **Divide your income and deposit into the following categories:**

- 50% to cover your essential living expenses (rent, utilities, food)
- 10% into an investment account (stocks, passive income businesses, real estate)
- 10% into a savings account to cover large or emergency expenses (unexpected repairs or medical costs)
- 10% into a self-improvement account (mentoring, coaching, books, and seminars)
- 10% into a rewards account (use this guilt-free money to indulge yourself and feel rich)
- 10% into a charitable account (donations to causes you care about)
- Deposit your loose change into a jar every day

Additional Advice About Dividing Your Income

Like Eker, David Bach (*The Automatic Millionaire*) suggests that you should develop the skills to manage your money regardless of what you earn. This way, you'll develop positive habits that will increase your current net worth *and* prepare you to effectively manage your future income.

Eker's suggestion to divide your income into separate accounts is standard practice—the majority of financial books suggest that you restrict your daily expenses and contribute towards your savings and investment accounts. A number of these books also suggest that you set up a separate account with money that you can spend on treating or educating yourself (*I Will Teach You to Be Rich* and *The Barefoot Investor*), and that you donate a portion of your money to causes that you care about.

However, Eker doesn't mention anything in his list of categories about planning for your retirement—this is something that the majority of financial books place a lot of emphasis on, as it's accepted as the safest and most proactive way to ensure that you're financially comfortable after you stop working. *The Automatic Millionaire* offers advice and presents specific steps to help you set up and automate your retirement account—Bach suggests that setting up a tax-deferred retirement account and maximizing your contributions is the easiest way to accumulate wealth for a comfortable retirement.

5) To increase your net worth, focus on increasing your working income and your passive income. Next, decrease your current expenses so that you can contribute more money towards your savings and investment accounts.

(Shortform note: Eker doesn't explain how to increase your working and passive income and decrease your current expenses. If you're employed, *I Will Teach You to Be Rich* offers advice on methods for negotiating a higher salary, such as emphasizing the *value* and benefits you provide. If you're self-employed, *Business Model Generation* offers strategies for you to maximize your profits, such as employing different pricing mechanisms for different customer groups. For advice on ways to decrease your expenses, *The Automatic*

Millionaire suggests that you track your daily expenses to identify how much money you can redirect towards your savings and investment accounts.)

Exercise: Do You Have Rich Habits?

According to Eker, rich people have a specific attitude towards money and they manage their finances in a particular way. This exercise will help you start developing a richer mindset.

Think about the traits and habits Eker categorizes as “rich.” Did you find any of these surprising? Why or why not?

How many of Eker’s rich traits and habits do you already practice?

Which rich traits and habits will be the most difficult for you to practice and why?

What’s the first step you’re going to take to practice living with a rich mindset?